# Micron Technology, Inc.

**MU** NASDAQ

| Hold | $930.08 ▼ 5.41% | 12M Price Target | 52-Week Range | Market Cap |
|---|---|---|---|---|
| | | **$1050.00** | $192.59 – $1255.00 | $1.05T |

## MU: Profit-Taking After Monster Run, HBM Story Intact

### WHAT HAPPENED

- MU dropped 5.4% today after ripping ~12% in the three sessions prior — classic profit-taking after a parabolic move. Volume was LIGHT today (13M vs 30M yesterday), which tells me this isn't institutional dumping — it's traders ringing the register, not a change in the story.
- The unusual put buying at $940-950 strikes expiring tomorrow is the tell. Someone paid big money ($68M notional) to hedge or bet against the stock through month-end — probably funds locking in gains before October close.

### WHY IT MATTERS

This is a digestion day, not a thesis break. MU just crossed $1 trillion market cap and is sitting at 69% of its 52-week range after a stunning run from $192 — some gravity was inevitable, and the sector action confirms it (money rotated into defensive names today: Real Estate, Healthcare, Utilities all up ~1.5%, which screams "take risk off"). The bigger picture: Micron is the ONLY US-based high-bandwidth memory (HBM) maker at scale, which makes them a national security asset in the AI race against China — that's a structural tailwind no earnings miss can erase. Watch whether $900 holds as support; if it does, this was just a shakeout, if it breaks you're looking at a trip back to $850 where the real buyers live.

### POLICY & POLITICAL WATCH

MU is a direct beneficiary of the CHIPS Act — they've been awarded roughly $6.1B in federal grants to build fabs in Idaho and New York, and the Trump administration's push to onshore semiconductor manufacturing has only intensified that tailwind. The thing to watch RIGHT NOW: ongoing US-China export control negotiations and the potential expansion of restrictions on selling advanced memory to Chinese AI companies — if restrictions tighten further, MU loses some China revenue (bad short-term) but kills off competition from Chinese memory makers like CXMT (great long-term). Also keep an eye on any tariff adjustments on Korean imports, because that directly impacts Samsung and SK Hynix's cost structure versus MU.

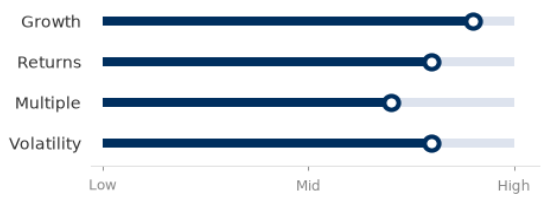
### IS IT EXPENSIVE?

At ~65x forward earnings and roughly 22x EV/EBITDA, you're paying up — investors are shelling out $65 for every $1 of next year's profit, which is rich for a historically cyclical memory stock that used to trade at 8-12x. The bull case says "this time is different" because HBM is structurally supply-constrained through 2027 and pricing power is real. But understand what you're buying: this is priced like a secular AI winner, not a commodity chipmaker — if memory pricing cracks even a little, the multiple compression would be brutal.

### Key Data

| | |
|---|---|
| Price (USD) | **$930.08** |
| 12M Price Target | **$1050.00** |
| Upside / (Downside) | **+12.9%** |
| Market Cap | **$1.05T** |
| FY2026E Revenue | **$48,500M** |
| FY2027E Revenue | **$62,000M** |
| FY2026E EPS | **$14.20** |
| FY2027E EPS | **$19.50** |
| Fwd P/E | **65.5x** |

### INVESTMENT PROFILE




### 12-MONTH PRICE PERFORMANCE VS. S&P; 500

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

**MU** — Micron Technology, Inc. | October 29, 2026

## PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|---|---|---|---|
| 1 Month | **$1050.00** | $950.00 | **$820.00** |
| 6 Months | **$1250.00** | $1050.00 | **$750.00** |
| 1 Year | **$1500.00** | $1150.00 | **$650.00** |
| 2 Years | **$1800.00** | $1300.00 | **$550.00** |
| 5 Years | **$2500.00** | $1600.00 | **$400.00** |
| 10 Years | **$4000.00** | $2200.00 | **$300.00** |

## WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Defensive sectors today — Real Estate, Healthcare, Utilities, Financials all green. That's a risk-off day signal, probably month-end rebalancing out of winners (MU, semis) into laggards.

**COOLING OFF:** Tech/semis clearly took a breather today after leading the market higher — no Tech ETF in the top movers tells you everything.

**ROTATION WATCH:** Money is rotating temporarily from AI winners into defensive dividend payers as funds lock in a brutally strong October. This is likely a 1-3 day flow, not a regime change — the AI capex story is still the only game in town.

**RELATED PLAY:** If you believe the HBM story, the picks-and-shovels play is Applied Materials (AMAT) and Lam Research (LRCX) — they sell the equipment MU uses to build the fabs, and they benefit whether MU or SK Hynix wins the HBM race.

## WHO'S WINNING IN THIS SPACE?

- NVDA (NVIDIA): The demand engine behind MU's HBM — every NVDA GPU sold needs Micron or SK Hynix memory stacked on it.
- AVGO (Broadcom): Custom AI chip wins with hyperscalers mean more HBM demand, directly feeding MU's orderbook.

**MU CONTEXT:** MU has actually been LEADING the semi group over the past three months — a 5x move off the 52-week low is extraordinary. That leadership tells us the market finally believes memory is a structural AI play, not a cyclical commodity. But leadership stocks get sold first in corrections, so expect sharper drawdowns if sentiment shifts.

## WHAT I'D DO WITH THIS STOCK

**7/10** Conviction Score

**Position Size:** 2-4% of portfolio

**Entry Points:** $850-900 on pullbacks

**Time Horizon:** 12-24 months

**Thesis Invalidation:** HBM pricing rolls over or hyperscaler capex guidance gets cut >15%

**Hedging:** Pair with short on a lower-quality memory peer or buy protective puts near earnings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